# EXECUTIVE SUMMARY

## 1. Introduction

Calayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri. This town has a total land area of 54,953.75 hectares and is a third class municipality with twelve barangays. This municipality is an archipelago composed of small islands and islets.

The audit covered the accounts and operations of the Municipality of Calayan for the year 2018 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

## 2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Calayan for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

| Particulars | 2018 | 2017 | Increase (Decrease) | |
|---|---|---|---|---|
| | | | Amount | Percentage |
| **Financial Condition** | | | | |
| Assets | 315,669,904.37 | 286,045,824.82 | 29,624,079.55 | 10.36% |
| Liabilities | 122,717,090.21 | 109,443,598.12 | 13,273,492.09 | 12.13% |
| Gov't Equity | 192,952,814.16 | 176,602,226.70 | 16,350,587.46 | 9.26% |
| | | | | |
| **Results of Operation** | | | | |
| Total Income | 136,525,297.55 | 125,541,053.08 | 10,984,244.47 | 8.75% |
| Total Expenses | 112,866,072.43 | 96,928,181.87 | 15,937,890.56 | 16.44% |
| | | | | |
| **Appropriations, Allotments and Obligations** | | | | |
| Appropriations | 190,384,922.78 | 177,326,726.54 | 13,058,196.24 | 7.36% |
| Allotments | 145,027,401.26 | 117,353,594.07 | 27,673,807.19 | 23.58% |
| Obligations | 131,855,657.72 | 109,044,276.03 | 22,811,381.69 | 20.92% |

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

| | 2018 | 2017 | Increase (Decrease ) | |
|---|---|---|---|---|
| | | | Amount | Percentage |
| Funds Received from Other Agencies | | | | |
| Due to NGAs | P17,779,795.78 | P26,153,080.36 | (8,373,284.58 ) | (32.02%) |
| Due to GOCCs | - | - | | |
| Due to LGUs | 4,910,422.07 | 2,850,696.02 | ( 2,059,726.05) | 72.25% |
| **TOTAL** | **P 22,690,217.85** | **P29,003,776.38** | **P(6,313,558.5)** | **(21.77%)** |
| Funds Transferred to Other Agencies: | | | | |
| Due from NGAs | P - | P - | P - | P - |
| Due from LGUs | 1,367,847.89 | 1,482,821.60 | (114,973.71) | (7.75%) |
| **TOTAL** | **P 1,367,847.89** | **P 1,482,821.60** | **P (114,973.71)** | **(7.75%)** |

## 3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the financial statements due to the non-compliance of the Municipality with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 pursuant to Item IX of COA Circular No. 2015-008 dated November 23, 2015, thus affecting the reliability and accuracy of Local Road and Road Network System account amounting to P P4,981,449.00. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said accounts.

## 4. Summary of Audit Observations and Recommendations

1. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as required under Item IX of COA Circular No.2015-008 dated November 23, 2015 due to incomplete Inventory Report, thus affecting the fair presentation of the "Road Network" account amounting to P4,981,449.00 as at December 31, 2018.

   Likewise, the related depreciation expense and accumulated depreciation was not provided for the said account contrary to certain provisions of International Public Sector Accounting Standard 17 (IPSAS 17).

   We recommended that management strictly comply with the guidelines embodied in the COA Circular No. 2015-008 dated November 25, 2015 by ensuring the following:

   a. General Service Officer maintains and updates a Local Road Inventory and Road Map and keep a complete Local Road Network Property Card for all road and its component

b. Municipal Engineer provides the Municipal Accountant and the General Services Officer with the complete description and cost segregation of road components of road projects

c. Municipal Accountant ensures compliance with the transitory provisions of the Circular by updating the records of the Road Network account and keeps and maintains subsidiary records for roads and road components for every road network.

Moreover, the Municipal Accountant must compute the depreciation expense, prepare the lapsing schedule and draw necessary journal entry to take up depreciation expense for the current year, update the related accumulated depreciation and record adjustment in government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with IPSAS 17.

2. Properties fully or partly held for rent amounting to P9,346,410.80 were recorded in the books of accounts as Property, Plant and Equipment instead of Investment Property contrary to the provisions of International Public Sector Accounting Standards (IPSAS) 16, (Investment Property) resulting in understatement of the Investment Property account and overstatement of Property, Plant and Equipment account.

   We recommended that management instruct the Municipal Accountant to reclassify the land and other properties held for rent recorded under Land, Market and Hostels and Dormitories accounts to Investment Property-Land and Building accounts to conform with IPSAS 16-Investment Property for fair presentation of the financial statements.

3. Due to National Government Agencies (NGAs) amounting to P13,367,485.60 for different projects and programs were not returned to source agencies while some remained unutilized/unimplemented contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.

   We recommended that Management strictly adhere with the provisions of Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 on the submission, and liquidation of fund transfer received from National Government Agencies (NGAs). The Municipal Accountant is advised to collate records to ensure that all unspent balances of fund transfers for completed projects irrespective of source agency be returned.

## 5. Summary of Total Suspensions, Disallowances, and Charges

There are no issued and unsettled audit suspension and disallowance as at December 31, 2018.

## 6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations embodied in the prior years' Annual Audit Report, seven (7) were fully implemented, one (1) was partially implemented and six (6) were not implemented as at year-end.